

Public Market Deal Report

Investment Banking

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Industry Landscape

Overview: The functional beverage market is growing quickly and is projected to exceed **\$200 billion by 2030** as consumers seek wellness, gut health, and cleaner ingredients, shifting away from traditional sodas.

Capabilities: Co-packing and agile supply chains help emerging brands scale efficiently. Social media and influencer marketing continue to drive strong product discovery and adoption.

Risks: Competition is rising across both legacy and new wellness brands. Regulatory scrutiny of health claims and premium pricing may limit growth, especially in weaker economic conditions.

Target Profile

Poppi is a US beverage company offering a functional soda line focused on prebiotics. The brand is positioned as a better-for-you alternative to traditional sodas, with lower sugar content and gut-health benefits.

Poppi has grown rapidly across retail and online channels, with distribution in major national retailers as well as in Canada.

The company gained significant consumer traction through its social-media presence, influencer partnerships, and distinctive branding.

Target Post Vision

Poppi plans to continue investing in its product innovation and brand development to make it possible for more consumers to access better-for-you beverage options.

The company intends to expand its presence across retail, food-service, and online channels while maintaining its focus on clean ingredients and functional health benefits.

This transaction provides Poppi with additional resources to scale its operations and broaden its reach.

Deal Structure

Overview: PepsiCo acquires Poppi for \$1.95B in an all-cash transaction, expanding its better-for-you beverage portfolio.

Poppi Advisors: Morgan Stanley & Co. LLC acted as the lead financial advisor to Poppi. With Centerview Partners LLC also serving as an advisor.

PepsiCo. Advisors: Goldman Sachs & Co. LLC served as the lead financial advisor to PepsiCo. With J.P. Morgan Securities LLC also serving as an advisor.

Acquirer Profile

PepsiCo is a global leader in food and beverage products, with a diversified portfolio that includes Pepsi-Cola, Lay's, Doritos, and Gatorade.

Operating in more than 200 countries, the company generates over \$90bn in annual revenue and continues to expand through strategic acquisitions.

Its scale, distribution network, and brand strength position it as one of the most influential players in the consumer packaged goods industry.

Acquirer Post Vision

Post-acquisition, PepsiCo aims to strengthen its position in the fast-growing better-for-you beverage category by scaling Poppi through its global distribution network, R&D capabilities, and established retail partnerships.

The company plans to enhance Poppi's production efficiency and accelerate its reach while preserving the authenticity and brand identity that drive its strong consumer appeal. This strategy supports PepsiCo's long-term goal of future-proofing its beverage portfolio and capturing sustained demand for health-oriented products.

Analyst Statement

PepsiCo's acquisition of Poppi reinforces its strategy of expanding into high-growth, health-focused beverage categories. The deal gives PepsiCo access to a rapidly scaling brand with strong consumer loyalty and a differentiated functional offering. Poppi benefits from PepsiCo's global distribution, marketing strength, and supply chain capabilities, accelerating its path to mainstream adoption. The transaction aligns with the broader shift toward low-sugar, wellness-oriented drinks and positions PepsiCo to capture long-term growth in the fast-growing functional soda and soft drink market.

